AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies

BUS115
SMALL BUSINESS MANAGEMENT

MTA

2024-2025 / SPRING

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Version C

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Number of Exam Pages: 4 (including this cover sheet)	Time Allowed: 1.5 Hrs.

structions:

Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
Mobile phones must be in "SWITCHED **OFF**" mode throughout the examination.
This is a **CLOSED** book examination. NO documents of any kind are allowed.
You **MUST** answer the questions using only the answer booklets provided
You **MUST** return the examination paper together with your answer booklets.
Do **NOT** write your answers in pencil except graphs/sketches
Students are **NOT** allowed to use any type of dictionary or mobile phones during the examination
Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy.

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ANSWER ALL OF THE FOLLOWING QUESTIONS

Question 1: Select the correct answer for each of the following sentences and write the answer in your answer booklet (20 sentences, 50 marks, chapters 1, 3, 4)

1. **A(n) _____ is the process of examining a need in the market, developing a solutio for that need, and determining the entrepreneur's ability to successfully turn the ide into a business.**
   A) business plan
   B) strategic analysis
   C) idea assessment
   D) feasibility analysis

2. **All of the following are characteristics of the typical entrepreneur except _____.**
   A) confidence in his/her ability to succeed
   B) value of money over achievement
   C) desire for immediate feedback
   D) a future orientation

3. **An entrepreneur is a person who _____.**
   A) is willing to attempt to implement a business concept and then give up if it does not meet immediate expectations
   B) understands the process of developing an idea and does not need to understand what it means to bring that idea to a viable business concept
   C) knows that the concept they are about to develop will result in a profitable business
   D) creates a new business concept for the purpose of achieving profit and growth by assembling the necessary resources to capitalize on identified opportunities

4. **Entrepreneurs who repeatedly start businesses and grow to a sustainable size before striking out again are known as _____ entrepreneurs.**
   A) opportunistic
   B) persistent
   C) serial
   D) classic

5. **An effective tool used to help assess ideas is the _____.**
   A) idea toolkit
   B) idea dashboard
   C) idea sketch pad
   D) idea metric

6. **The process of determining whether an entrepreneur's idea is a viable foundation for creating a successful business is known as a(n) _____.**
   A) business plan
   B) strategic analysis
   C) industry analysis
   D) feasibility analysis

7. **A product or service feasibility analysis determines the degree to which a product or service idea appeals to potential customers and identifies the necessary resources.**
   A) TRUE
   B) FALSE

8. **Entrepreneurs typically identify just one business idea for any given market need.**
   A) TRUE
   B) FALSE

9. **The purpose of a feasibility study is to determine whether a business idea is worth pursuing.**
   A) TRUE
   B) FALSE

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10. Entrepreneurs who start businesses because they cannot find work any other way called _____.

A) necessity entrepreneurs
B) serial entrepreneurs
C) opportunity entrepreneurs
D) corporate cast-offs

11. Research and studies have isolated a set of characteristics that can predict who succeed as an entrepreneur.

A) TRUE
B) FALSE

12. Creativity is the ability to develop new ideas and to discover new ways of looking problems and opportunities.

A) TRUE
B) FALSE

13. When developing creative solutions to modern problems, entrepreneurs must _____

A) go beyond merely using whatever has worked in the past
B) limit the creative process to only profitable ventures
C) remember what has worked in the past
D) pay attention to limiting factors

14. All of the following represent barriers to creativity that entrepreneurs impose up themselves except _____.

A) focusing on being too logical
B) being too practical
C) blindly following rules
D) searching for more than one answer

15. Potential drawbacks of entrepreneurship may include _____.

A) uncertainty of income, risk, long hours, and high stress
B) uncertainty of income, risk, easy hours, and frequent vacations
C) uncertainty of income, risk, long hours, and the immediate accumulation of wealth
D) certainty of income, risk, long hours, and high stress

16. The ability to develop new ideas and to discover new ways of looking at problems an opportunities is called _____.

A) entrepreneurship
B) innovation
C) creativity
D) creative thinking

17. An entrepreneurial "secret" for creating value in the marketplace is _____.

A) applying creativity and innovation to solve problems
B) creating new products and services
C) learning by doing
D) applying lessons learned from history

18. Entrepreneurship is a constant process that relies on _____.

A) creativity, innovation, and profit
B) the ability to win over the consumer
C) creativity, innovation, and application in the marketplace
D) intellectual property rights

19. _____ is necessary for building a competitive advantage and for business survival.

A) One single idea
B) A motivated owner
C) Creativity
D) A low-priced product

20. Innovation is the ability to develop new ideas and to discover new ways of looking at problems and opportunities.

A) TRUE
B) FALSE

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Question 2: (50 Marks, chapter 1)

Discuss different aspects of entrepreneurs' diversity (25 marks) and justify why such diversity is useful and also challenging (25 marks).

Question 3: (50 Marks, chapter 3)

What is organisational creativity and how does it differ from individual creativity (30 marks)? Suggest 4 possible way entrepreneurs can use to stimulate their own creativity and encourage it among workers (20 marks).

END OF EXAM

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